Tour

Figure 51.1 shows an example of a rectangle bottom. An upward price trend lasted just 3 days leading to the rectangle, but it was too short both in duration and height to be important. The more significant trend is downward, and I consider the decline a few days before the rectangle as undershoot. Undershoot commonly happens just before price oscillates between support and resistance zones.

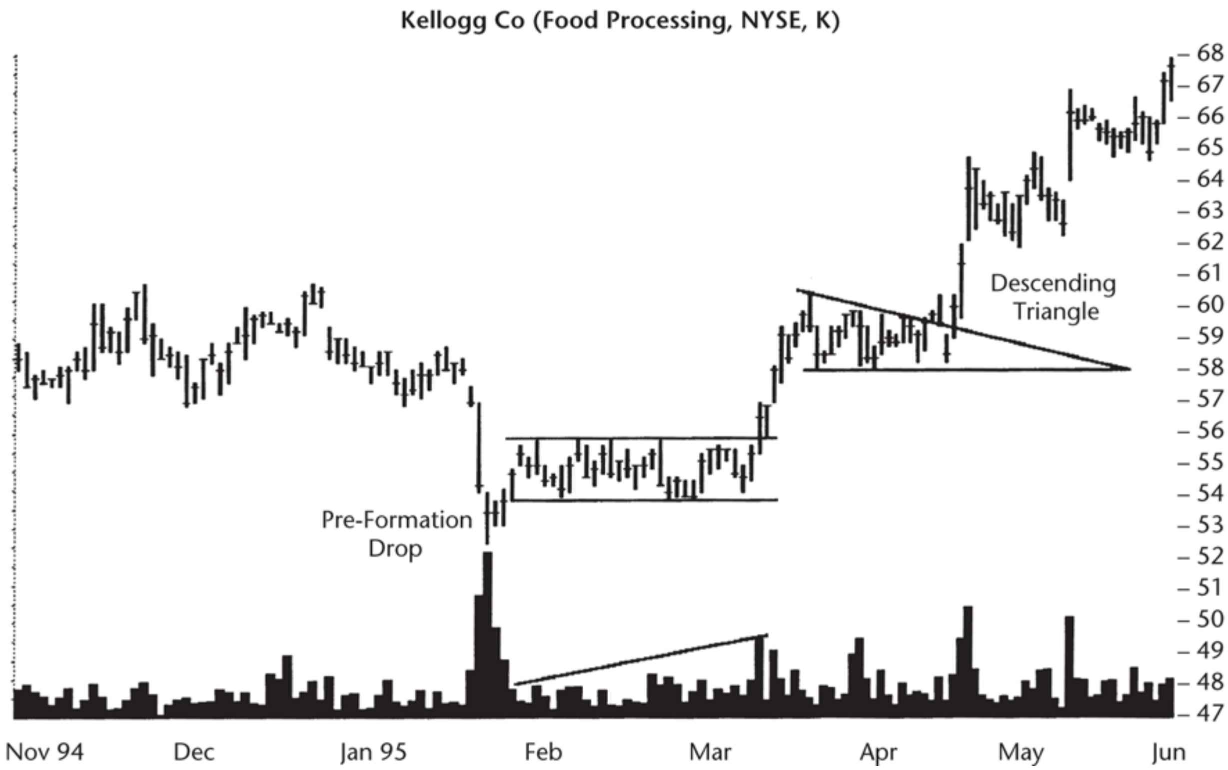

Figure 51.1 A rectangle bottom shows an intermediate-term downtrend leading to the pattern with an upward breakout. After the breakout, price created a descending triangle and burst upward out of that chart pattern, too.

The rectangle bottom formed after price dropped out of a slightly rounded top that began in October 1994 (not shown) and lasted to January 1995. Price dropped quickly from 57 to 52.50, recovered, and bumped up against overhead resistance at 56.

For more than a month, the stock bounced between the two zones (54 and 56) like a ping-pong ball ricocheting off players' paddles. Up and down, up and down price boomeranged on rising volume. After one player sneezed,